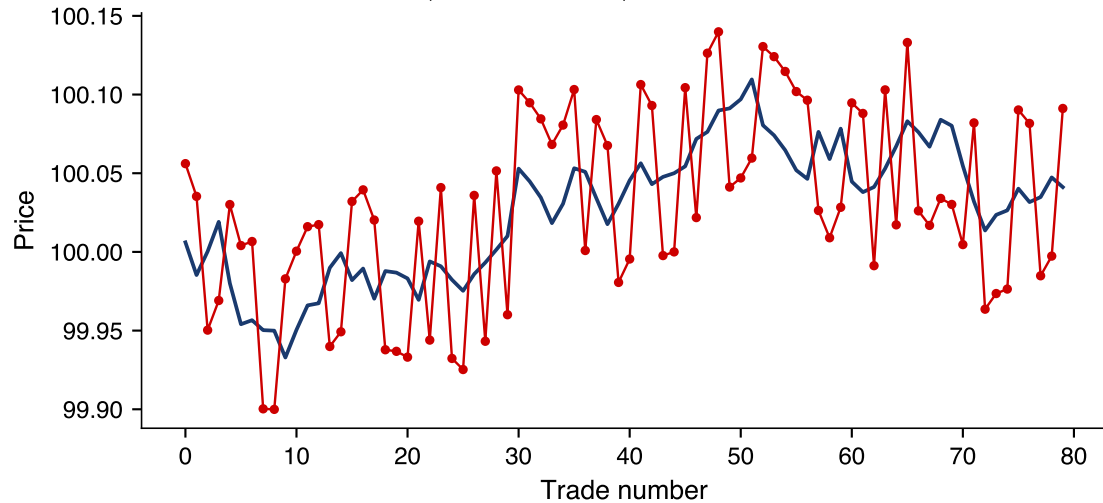


Simulated bid-ask bounce ( $c = 0.05$ ,  $\sigma = 0.02$ )



— Efficient price  $m_t$     —•— Trade price  $p_t = m_t + c q_t$     Trade price changes    Efficient price changes

Autocorrelation of price changes

